# Mongolia Investment and Business Law Update

Enacted changes, implementation dates, and investor actions | 2024–2026

**Prepared in English • Legal position reviewed through 15 October 2026**

## Executive summary

Mongolia's most consequential recent investment-law change is the 2026 package that amended the Investment Law and more than 90 related laws. The amended Investment Law took effect on 31 August 2026. It broadens investor support, grievance handling, market access and tax/customs incentives, while revising stabilization certificate criteria. A separate corporate income tax (CIT) package adopted on 26 June 2026 takes effect on 1 January 2027. Businesses should therefore distinguish rules already operative from incentives and tax rules that start later.

- Investment Law: the 2026 amendments are in force. The Investment and Trade Agency is assigned a wider investor-service, facilitation, database and grievance role. The official agency summary also describes national treatment, additional sectors open to foreign investment, arbitration by agreement after negotiation/mediation, and updated stabilization periods.
- CIT: from 1 January 2027, taxable income bands are 10% up to MNT 6 billion, 15% on the MNT 6–10 billion band, and 25% above MNT 10 billion, under the enacted amendment. The 90% relief threshold rises to MNT 2.5 billion; AI/data-centre assets receive accelerated depreciation, and certain IT income is exempt, subject to statutory definitions and conditions.
- Permits and administration: the July 2026 package amends the Permits and Notifications Law and numerous sector laws, expanding notification-based activity and constraining ad hoc requirements. The Economic Freedom Law prohibits specified forms of arbitrary interference and requires full market-value compensation for compulsory taking of private property.
- Earlier changes remain relevant: the 2024 Investment Law amendment removed the special investment-law route for land possession/use, leaving land rights to the Land Law; the November 2024 investment amendment aligned stabilization terminology with the General Taxation Law. The revised City Tax Law became effective on 1 June 2025.

## Scope and reading guide

This report summarizes enacted Mongolian legislation and official implementation notices with material implications for investors and operating businesses, focusing on 2024 through 15 October 2026. It is not a full translation of the Mongolian statutes. The Investment and Trade Agency's English summaries are used for the 2026 package where a consolidated official English translation was not located; controlling interpretation should be checked against the Mongolian text in Legalinfo and applicable implementing regulations. Drafts and proposals are identified separately and are not treated as law.

For each measure, confirm the commencement clause, sector-specific eligibility, implementing regulations, and tax authority practice before relying on an incentive. The term "national treatment" in the investment reform does not remove sector-specific licensing, ownership, land, national-security, or competition rules.

## 1. Investment Law

### 1.1 2026 reform package now in force

Parliament adopted the Law on Economic Freedom and accompanying amendments on 2–3 July 2026. The Investment and Trade Agency reports that Investment Law amendments entered into force on 31 August 2026. The package is the main recent reform and changes the investment regime rather than replacing the 2013 Investment Law wholesale. [1–3]

| Area | Enacted change reported by official sources | Practical significance |
|---|---|---|
| Investor services | Investment and Trade Agency to attract, retain and support investment; provide information, advice and digital one-stop services; maintain integrated investment statistics; receive and coordinate investor complaints. | Use the Agency early for cross-agency issues; keep a dated written complaint record and evidence. |

| | | |
|---|---|---|
| Grievance and dispute resolution | A formal investor grievance mechanism; disputes may be referred to nationally or internationally agreed arbitration if negotiation or mediation does not resolve them. | Check the final statutory wording, arbitration agreement, forum, seat, language, interim relief and treaty protections in each contract. |
| Market access | National treatment for foreign investors and additional foreign investment access reported for banking, environmental impact assessment, IP services, agricultural commodity exchanges, renewable energy, data centres and AI. | Confirm exact amended sector schedules and licensing/ownership requirements. The general rule does not override sector statutes. |
| Stabilization certificates | Eligibility criteria simplified; official summaries report 10–20 year stabilization for qualifying projects, including project implementation of at least five years. The current law text also revises investment thresholds and the duration table. | Model the MNT threshold, location, construction/implementation period, application evidence and certificate scope under amended Articles 15–16. |
| Investment incentives | Expanded tax incentives; eligible loan/debt interest withholding tax reduced from 20% to 5%; eligible project equipment/customs relief, including data-centre and AI infrastructure; securities tax incentives extended. | Treat as conditional incentives, not automatic exemptions. Confirm eligible instrument, taxpayer, equipment classification, project approval and effective date. |
| Inspection coordination | Duplicate/overlapping inspections limited; official summary states no more than two duplicate inspections. | Map scheduled inspections and retain notices, legal basis and inspection plans. |

The amended Investment Law's current Legalinfo record indicates that stabilization certificates now use location-sensitive thresholds: the table distinguishes Ulaanbaatar and other locations and lists 10-, 15- and 20-year periods across investment bands. The law also retains an enhanced 1.5-times duration for specified strategic import-substitution/export projects, with a revised Article 16.3.1. Investors should work from the enacted Mongolian table and not rely on older 2013-era summaries or draft thresholds. [4]

### 1.2 2024 changes: land rights and tax-stabilization terminology

In April 2024 Parliament amended the Investment Law to remove the special mechanism that had allowed investors to obtain land possession or use rights through that statute. Parliament explained that the prior rule conflicted with the Constitution's limits on land use by foreign persons. Land access is now governed through the Land Law and its applicable eligibility, term, contract and approval rules. This is material to site selection, project finance and security packages: verify the land right separately and do not treat an investment approval as a land grant. [5, 6]

A 21 November 2024 amendment replaced the Investment Law definition of "tax environment stabilization" with a cross-reference to the General Taxation Law's definition of a "stabilized tax environment," and updated related wording in Articles 1.1 and 20.4. It took effect on the date the related Nuclear Energy Law amendment entered into force. This is chiefly a terminology and statutory-coherence amendment, but it matters when interpreting stabilization certificates and tax guarantees. [7]

### 1.3 Investment regime fundamentals to keep in view

The 2013 Investment Law remains the base statute as amended. It provides general legal guarantees, investor rights and duties, investment support measures and stabilization certificates. Stabilization is a formal certificate-based regime: eligibility, application contents, covered taxes, project scope and duration must be assessed under the current text and regulations. No investor should assume that all future legal or regulatory changes are frozen by general investment status alone.

## 2. Economic Freedom Law and cross-cutting amendments

The Economic Freedom Law, dated 3 July 2026, frames the state's role around property rights, free business activity, economic freedom, fair competition and stability. It prohibits government action that unlawfully interferes with business, requires documents beyond those prescribed by law, conducts unauthorized/overlong inspections, compels corporate social-responsibility activity, or grants selective privileges without legal basis. It also says compulsory taking of private property for public necessity may proceed only after full compensation based on actual market value. [8]

The package amended 91 related laws, according to Parliament's official gazette notice. This is a broad legislative alignment package, not a single new license-free regime. Alongside the Investment Law, priority statutes for operating companies include the Permits and Notifications Law, State Inspection Law, Banking Law, Customs Tariff and Customs Tax Law, Land Law, environmental assessment and protection laws, foreign nationals law, construction, education, energy, communications and other sector-specific laws. [9]

### Permits and Notifications Law

The 2026 changes update the framework governing permits and notification-based activities. The amended law sets risk-based principles, bars authorities from imposing requirements or stopping activities outside statutory authority, reinforces

transparent and non-discriminatory administration, and expands the notification model for specified activities. It also provides that where the law does not say otherwise, special permits should be issued for at least 10 years and ordinary permits for at least five years; resource-use rights remain time-limited. The exact activity list and sector amendments control, so businesses should check whether each activity moved from license to notification status before changing operations. [10]

### State inspections and digital administration

The 2026 package requires inspection plans to be sent through the unified government service system and, except where an on-site inspection is necessary, allows inspections to be carried out electronically. Investment Law inspection coordination and these amendments support a more predictable process, but do not eliminate lawful inspections. Businesses should preserve the plan, inspector credentials, statutory authority, scope and results. [11]

## 3. Tax and customs changes

### 3.1 Corporate income tax amendment effective 1 January 2027

Parliament reports that the CIT amendment adopted on 26 June 2026 starts on 1 January 2027. Its major changes include a revised progressive rate schedule, a higher small-business refund/relief ceiling and targeted technology support. These are enacted future-effective rules as of this report date. [12]

| Measure | From 1 January 2027 | Business action |
|---|---|---|
| CIT rate bands | 10% on taxable income through MNT 6bn; 15% on the portion above MNT 6bn through MNT 10bn; 25% on the portion above MNT 10bn. | Reforecast effective rates and model marginal tax by income band; update deferred-tax forecasts and budgets. |
| Small-business relief | 90% relief threshold increases from MNT 1.5bn to MNT 2.5bn, per Parliament's summary. | Validate eligibility, related-party aggregation, return process and refund timing with tax counsel. |
| AI and data-centre assets | Three-year accelerated depreciation available for eligible AI and data-centre equipment. | Confirm asset definitions, placed-in-service date, ownership/use and documentation. |
| Specified IT income | Certain income of qualifying IT companies is exempt, subject to the amended law's definitions and conditions. | Check legal entity/activity criteria and separate eligible from non-eligible revenue. |
| Administration | Monthly filing/payment deadlines are expressed as the last day of the relevant month instead of specified calendar dates, according to Parliament's summary. | Update tax calendars and system controls before 2027. |

The official 2025 consultation draft included many proposals, but those draft provisions should not be treated as enacted merely because they appeared in the bill. The summary above is limited to the measures Parliament identified in its post-enactment notice and the enacted statute. The 2024 CIT amendment passed on 8 November 2024 was repealed on 29 November 2024; it did not remain the governing rule. [13, 14]

### 3.2 2026 investment-linked tax and customs incentives

The official investment-agency summary describes a reduction from 20% to 5% in withholding tax on interest from eligible loans and debt instruments, 100% customs-duty exemption for eligible imported equipment used in construction projects and data-centre/AI infrastructure, and extended tax incentives for income from publicly traded bonds and shares. The specific amending tax and customs laws, eligibility conditions and effective dates should be checked against the Mongolian promulgated texts and implementing guidance before booking the benefit. [1]

### 3.3 City Tax Law effective 1 June 2025

The revised City Tax Law applies in Ulaanbaatar and cities/towns of national and local significance. It covers alcoholic beverages and tobacco products, plus hotel, resort, restaurant, bar, car-wash and auto-service transactions. Local representative councils set rates from 0% to 2%, considering location and population density. The seller/service provider withholds and pays the tax and must issue an electronic receipt that shows the city tax separately. This creates a point-of-sale, invoicing and reconciliation obligation for relevant businesses. [15]

# 4. Other material sectoral and business law changes

## Banking and financial services

The 2026 package is reported to facilitate foreign bank branches by exempting them from the Banking Law's 20% shareholding threshold. It also lowers the withholding tax on eligible financing interest to 5%, aiming to reduce financing costs. Financial institutions still need to meet licensing, prudential, governance, AML/CFT and central-bank requirements. Confirm the scope of the branch exception and which lenders/instruments qualify for the tax rate in the enacted Banking and tax amendments. [1]

## Land and project development

The 2024 Investment Law change makes the Land Law the controlling route for investor land access. Separately, the 2026 package includes amendments to the Land Law and related property/permit rules. Site acquisition, land possession/use rights, change of purpose, sublease, collateral and transferability need a land-law due diligence track, independent from investment incentives and company registration. [5, 9]

## Environmental, construction, energy and digital sectors

The 2026 reform expressly names renewable energy, data centres and AI as priority areas for expanded foreign access or targeted incentives in official summaries. The package also amends environmental assessment/protection, construction, energy and customs rules. These sectors remain subject to environmental screening and impact assessment, construction approvals, grid/land arrangements, safety rules, customs classification and sector permits. Incentives do not displace those substantive approvals. [1, 9]

## Public procurement and PPP

Public procurement, public-private partnership, and state-owned-enterprise rules can materially affect market entry and infrastructure projects. The available sources for this review did not establish a major 2024–2026 amendment to the PPP Law comparable to the 2026 Investment Law package. The 2026 ancillary list does include a procurement-law amendment, but investors should consult the promulgated amendment and tender documents for its operative scope. Treat any announced policy or draft PPP reform as non-operative until officially enacted. [9, 16]

# 5. Investor and company action list

- Refresh legal register: record 31 August 2026 as the Investment Law amendment commencement date, 3 July 2026 for the Economic Freedom Law package, and 1 January 2027 for the CIT changes.
- Re-test foreign ownership and licensing: map each actual activity to the amended sector law and current permit/notification schedule; do not infer blanket liberalization from national-treatment language.
- Revisit stabilization eligibility: model the amended Article 16 location-specific investment thresholds and duration, the required implementation period, strategic project multiplier and tax coverage. Confirm applicable rules with the Investment and Trade Agency.
- Document incentive claims: maintain project approvals, equipment HS classifications, invoices, financing instrument terms, securities eligibility evidence, asset commissioning records and required tax certificates.
- Separate land diligence: confirm the relevant Land Law right, land-use purpose, term, approvals, transferability, collateral mechanics and local development restrictions before financial close.
- Prepare for grievances: submit a concise written complaint to the Investment and Trade Agency with chronology, agency decisions, legal grounds, evidence, requested remedy and relevant contract/arbitration clauses.
- Update tax systems for 2027: run scenario models for the new CIT bands, 90% relief threshold, AI/data-centre depreciation, qualifying IT income and revised monthly filing deadlines.
- For city-tax sectors, verify local council rates and configure receipts so the city tax is itemized; reconcile tax withheld, paid and reported each month/quarter.
- Maintain administrative evidence: save permit notices, inspection plans, e-service submissions, response deadlines, meeting records and written legal bases for agency requests.

# 6. Key dates

| Date | Measure | Status / effect |
|---|---|---|
| 12 April 2024 | Investment Law amendment removing special land-right provisions | Enacted; land rights proceed under Land Law. |

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|---|---|---|
| 21 November 2024 | Investment Law terminology amendment | Enacted; commencement tied to Nuclear Energy Law amendment. |
| 29 November 2024 | Repeal of 8 November 2024 CIT amendment | Effective immediately; confirms that the Nov. 8 tax changes were withdrawn. |
| 1 June 2025 | Revised City Tax Law | Effective; sectoral city tax applies under local rates. |
| 3 July 2026 | Economic Freedom Law and package amendments | Enacted; related laws commence according to their own clauses. |
| 31 August 2026 | Investment Law amendments | Effective, per Investment and Trade Agency. |
| 1 January 2027 | 2026 CIT amendment | Future effective as of 15 October 2026. |

## 7. Source register

Primary legal texts and official government or Parliament materials reviewed. English translations on Legalinfo and agency summaries may be unofficial; the Mongolian promulgated statute controls.


[1] Investment and Trade Agency, “Parliament Adopts the Law on Economic Freedom and Accompanying Legislative Amendments” (2 July 2026). https://www.investmongolia.gov.mn/en/?p=9273

[2] Investment and Trade Agency, “Amendments to the Investment Law Now in Effect” (4 September 2026). https://www.investmongolia.gov.mn/en/?p=9514

[3] Legalinfo, Law on Economic Freedom (3 July 2026). https://legalinfo.mn/mn/detail?lawId=17438537867212

[4] Legalinfo, Law on Investment, current consolidated text (including 3 July 2026 amendments to Articles 15–16). https://legalinfo.mn/mn/detail?lawId=9491&type=11

[5] Parliament, April 2024 Investment Law amendment debate/summary (land-right provisions). https://www.parliament.mn/nn/52154/

[6] U.S. Department of State, 2024 Investment Climate Statement: Mongolia (land law context). https://2021-2025.state.gov/reports/2024-investment-climate-statements/mongolia/

[7] Legalinfo, Law Amending the Law on Investment (21 November 2024). https://legalinfo.mn/mn/detail?lawId=17333446271811&showType=1

[8] Legalinfo, Law on Economic Freedom (3 July 2026), including business protections and property-taking compensation. https://legalinfo.mn/mn/detail?lawId=17438537867212

[9] Parliament, “State Information Gazette No. 31 of 2026” notice listing 91 related amendments (21 August 2026). https://www.parliament.mn/nn/77970/

[10] Legalinfo, Law on Permits and Notifications, current text reflecting 3 July 2026 amendments. https://legalinfo.mn/mn/detail/16530780109311

[11] Legalinfo, Law Amending the State Inspection Law (3 July 2026). https://legalinfo.mn/mn/detail?lawId=17438587602052&showType=1

[12] Parliament, “Threshold for small-business tax relief increased; law applies from next year” (19 August 2026). https://old.parliament.mn/nn/77957/

[13] Legalinfo, 2025 CIT amendment bill and explanatory documents (draft only, used to distinguish proposals from enacted law). https://legalinfo.mn/storage/uploads/process/202509/file_1756727761348510_160820220709030.pdf

[14] Legalinfo, Law repealing the 8 November 2024 CIT amendment (29 November 2024). https://legalinfo.mn/mn/detail?lawId=17350508878021

[15] Legalinfo, City Tax Law (revised; entry into force 1 June 2025), English unofficial translation. https://legalinfo.mn/en/edtl/17355666900241

[16] IMF, Mongolia 2025 Article IV Consultation (notes expected FDI-law/PPP reforms at that time). https://www.imf.org/-/media/files/publications/cr/2025/english/1mngea2025001-source-pdf.pdf


## Important qualification

This is a general legal-information report, not a legal opinion or tax advice. The 2026 reforms are recent, and their practical operation may depend on implementing rules, agency procedures, licensing schedules and the exact Mongolian text. For a live investment or tax position, obtain a Mongolian counsel review of the consolidated law and project-specific facts.